AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

22 July 2026 · the qualitative

NVIDIA

$207.29

NASDAQ : NVDA · Mature-Company DCF

$5037.1B mkt cap · 24.30B sh · $10.6B cash, $8.5B debt · $10.6B cash vs ~$8.5B debt (~$2B net cash); ~24.3B shares; +$80B buyback authorized, $0.25/quarter dividend; Revenue $215.9B FY26 (+65%); GAAP op margin ~60%; FCF ~$96.7B (~45%); Data Center now ~88% of revenue; World's largest company at ~$5.0T; ATH ~$235 (May), ~$205 now (~+45% TTM); slid post-earnings despite the beat

THE CENTRAL QUESTION

Can datacenter AI capex compound for years at high-70s% gross margin to justify ~$5T and ~50x FCF, or does a digestion/air-pocket hit a stock priced for perfection?

NVIDIA trades at ~$4,986B (~$205/sh, ~+45% TTM) - ~50x FCF on $215.9B revenue (+65%), ~60% operating margins, ~$2B net cash. Data Center is ~88% of revenue and grew +92% last quarter at a mid-70s% gross margin. The DCF asks whether hyperscaler + sovereign AI capex keeps compounding or pauses; even at huge growth the modal can't justify ~$5T - weighted -25% (ultra-bear -80% to ultra-bull +73%).

PROBABILITY-WEIGHTED EXPECTED VALUE

$153.54 expected fair value today

-25.9% vs spot $207.29

FORWARD COMPOUNDED VALUE

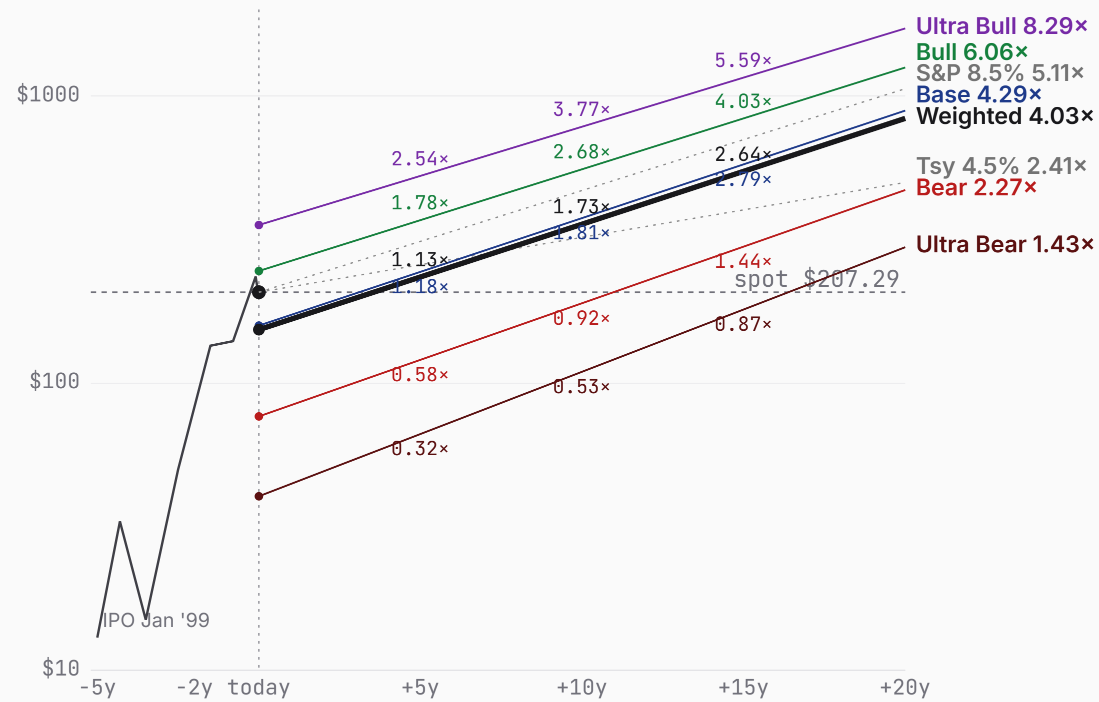
+5y	+10y	+15y	+20y
$234.28	$357.69	$546.47	$835.42
1.13× spot	1.73× spot	2.64× spot	4.03× spot

WEIGHTING RATIONALE

Ultra Bear 15% Capex air-pocket; revenue contracts; ~$40 (-80%).
Bear 25% Growth decelerates hard; share erodes; ~$77 (-63%).
Base 32% Capex holds; cadence extends; still rich; ~$159 (-23%).
Bull 20% Capex holds; Rubin extends cadence; ~$246 (+20%).
Ultra Bull 8% AI build-out runs for years; ~$355 (+73%).

Bull (20%) + Ultra Bull (8%) together contribute $77.57 — 51% of the $153.54 expected value despite 28% combined probability. Today's spot ($207.29) sits 35% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$40.37	$76.59	$158.65	$245.72	$355.27
-80.5% vs spot	-63.1% vs spot	-23.5% vs spot	+18.5% vs spot	+71.4% vs spot
CAGR -0.6% WACC 10.5%	CAGR +7.6% WACC 9.5%	CAGR +20.1% WACC 9.0%	CAGR +25.3% WACC 8.5%	CAGR +32.0% WACC 8.2%
CAGR -0.6% Prob 15%	CAGR +7.6% Prob 25%	CAGR +20.1% Prob 32%	CAGR +25.3% Prob 20%	CAGR +32.0% Prob 8%
Capex air-pocket; revenue contracts.	Growth decelerates hard; share erodes.	Capex holds; cadence extends; still rich.	Capex holds; Rubin extends the cadence.	AI build-out runs for years; full platform.

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

NVIDIA scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 25% Base 32% Bull 20% Ultra Bull 8% · Weighted expected $153.54 (-25.9% vs spot)

ULTRA BEAR $40.37

-80.5% vs spot

Probability 15%

Capex air-pocket; revenue contracts.

WHY 15%

The genuine bear: the entire thesis rides on hyperscaler capex holding, custom silicon (OpenAI-Broadcom 10GW) + AMD (Meta ~$100B, OpenAI 6GW) all land H2-2026, and the stock already slid at $5T despite a +85% quarter. 15% weight on a real digestion/share-loss break.

WHAT HAPPENS

The AI capex cycle hits a digestion air-pocket: hyperscalers pause after over-building, Data Center revenue contracts (-10% then -5%), and custom ASICs plus AMD's H2-2026 launches take share at the margin so gross margin compresses toward the low-70s. China stays a structural $0. The compute giant cyclically resets to a slower-growth, lower-margin base.

A cyclical semiconductor whose growth has rolled over earns a mid-teens terminal multiple → DCF ~$40 (-80%). Net cash is immaterial against a ~$5T cap; this is what a priced-for-perfection name does when perfection breaks.

BEAR $76.59

-63.1% vs spot

Probability 25%

Growth decelerates hard; share erodes.

WHY 25%

Growth deceleration plus custom-silicon/AMD share loss is the central pull on a name lapping +65% FY26 revenue; even mid-teens forward growth at high margins leaves the price stretched. 25% as the plausible 'grows but normalizes' path.

WHAT HAPPENS

Demand keeps growing but decelerates fast as the first wave of build-out matures: +12% then high-single-digit as custom ASICs and AMD chip away GPU share and pricing, holding gross margin in the high-50s/low-60s operating. The annual cadence ships but each generation no longer doubles the installed base; sovereign + diversified demand cushions, not offsets.

DCF ~$77 (-63%) - a still-large, still-profitable franchise whose hyper-growth has normalized is worth far below a $5T price; the market's premium assumes years of compounding the bear doesn't deliver.

BASE $158.65

-23.5% vs spot

Probability 32%

Capex holds; cadence extends; still rich.

WHY 32%

Requires hyperscaler + sovereign capex to keep compounding and the cadence to ship without a share break - consistent with a sold-out backlog and FQ2 guide ~$91B, but not a step-change beyond it. 32% as the central, still-negative outcome at a $5T cap.

WHAT HAPPENS

The modal path: datacenter AI capex holds, Blackwell Ultra ramps into Rubin on the annual cadence, and Data Center compounds (+40% then decelerating) at a defended ~60% operating margin while networking (+199% last quarter) extends the full-rack systems franchise. Revenue roughly doubles over the window; China remains $0. A genuinely dominant, fast-growing compute platform - but already priced for it.

DCF ~$159 (-23%) - even with capex holding and the cadence intact, ~50x FCF and a ~19x terminal multiple on a company this size leaves the modal case below today's price; the franchise is excellent and the entry is rich.

BULL $245.72

+18.5% vs spot

Probability 20%

Capex holds; Rubin extends the cadence.

WHY 20%

Demand outrunning supply, +92% Data Center, +199% networking and a sold-out Blackwell Ultra backlog make sustained compounding credible if the capex cycle doesn't pause. 20% weight on capex holding and Rubin extending the run.

WHAT HAPPENS

Hyperscaler capex holds and broadens: the Rubin generation extends the annual cadence, networking and full-rack systems compound the moat beyond the GPU, sovereign deployments (Saudi HUMAIN ~$20B, UAE) and diversified AI clouds (~50% of Data Center) add a durable second leg, and gross margin stays mid-70s. Demand keeps outrunning supply; CUDA + the developer ecosystem hold share against ASICs and AMD.

DCF ~$246 (+20%) - if capex holds and the cadence extends, the franchise grows into and past the multiple; this is the core of the bull and where the price is defensible.

ULTRA BULL $355.27

+71.4% vs spot

Probability 8%

AI build-out runs for years; full platform.

WHY 8%

Everything works - capex compounds for years AND the cadence holds AND CUDA/networking entrench the platform AND ASICs/AMD stay marginal. ~8%, the long-duration AI-infrastructure tail.

WHAT HAPPENS

The full second act: AI infrastructure spend compounds for years across hyperscale, sovereign and enterprise, NVIDIA stays the platform standard through Rubin and beyond, networking + software + the CUDA ecosystem entrench an end-to-end systems moat, and gross margin holds low-to-mid-70s as supply scales. Revenue more than doubles at peak margins with no meaningful share loss.

DCF ~$355 (+73%) - the build-out runs and NVIDIA captures it as the standard platform; ~8% probability, the asymmetric upside the price embeds beyond the modal case.

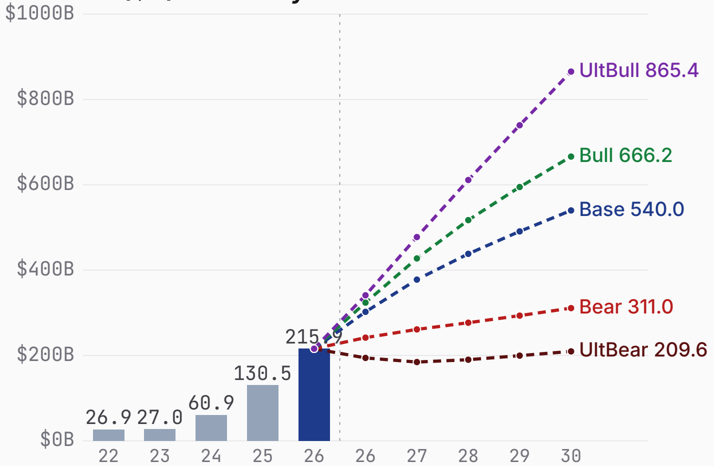
22 July 2026 · the snapshot

NVIDIA business snapshot

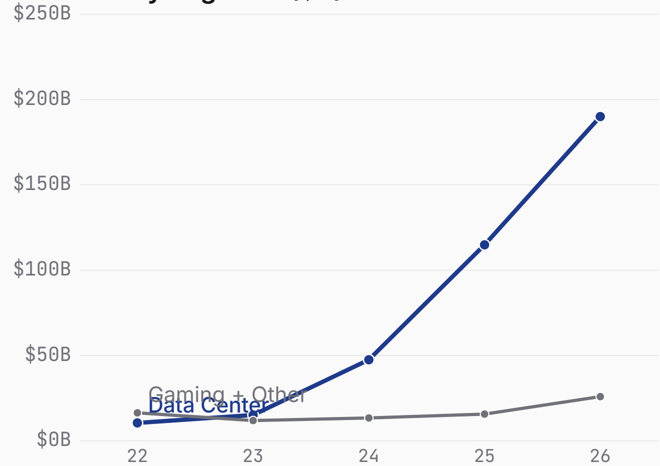
Bear $76.59 Base $158.65 Bull $245.72

FY22-FY26 history + FY27-FY31 scenario projections · fiscal years end late January · FQ1 FY2027 (rep. May 2026) results

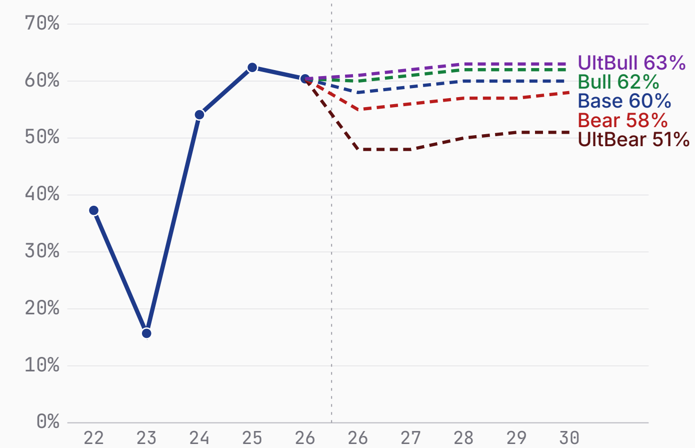
Revenue ($B) — history + scenarios to FY30



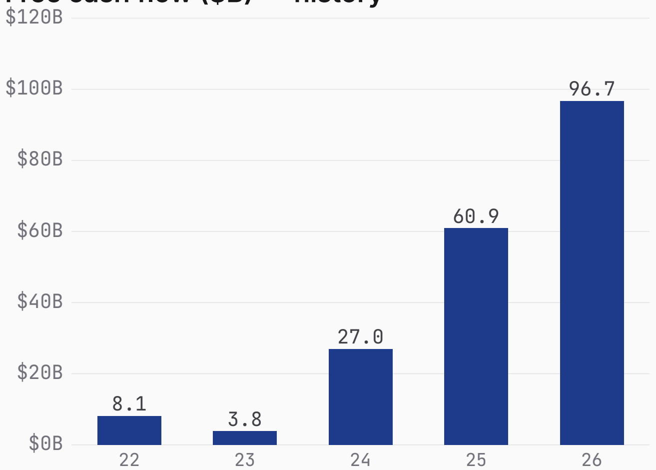
Revenue by segment ($B)



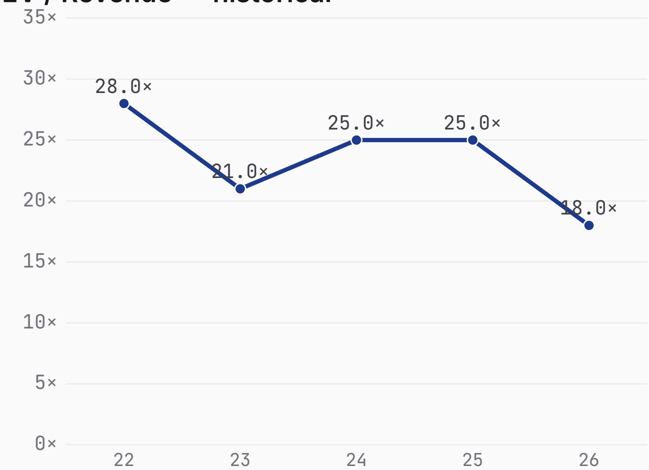
Op margin — history + scenarios



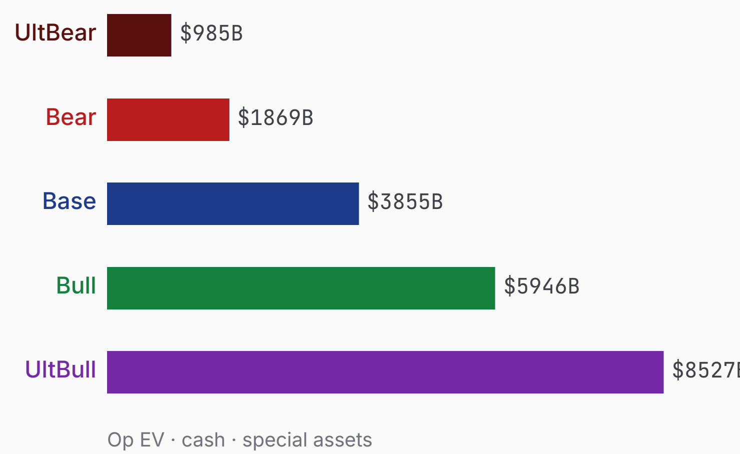
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1045810; revenue, GAAP operating income/margin, cash flow, debt), NVIDIA FQ1 FY2027 release (revenue $81.6B +85% YoY, Data Center $75.2B +92% with compute $60.4B / networking $14.8B +199%, non-GAAP gross margin 75.0%, FQ2 guide ~$91B, zero China datacenter revenue), Blackwell Ultra (GB300) sold out through mid-2026. Revenue modeled as a growth path off FY26; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs peers.

NVIDIA 7 Powers · the moat, scored

Bear $76.59 Base $158.65 Bull $245.72

Arena. AI accelerators / datacenter compute - NVIDIA (GPUs + networking + the CUDA software platform, ~88% Data Center) vs AMD, the hyperscaler custom-ASIC programs (OpenAI-Broadcom, in-house silicon), and Broadcom; auditing a cornered-resource (CUDA) + scale Power against custom silicon and a credible #2.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Power	Score	Assessment
Scale Economies	3/3	Massive R&D and supply scale at $215.9B revenue funds a once-a-year architecture cadence rivals struggle to match; the leader's volume self-reinforces.
Network Economies	3/3	The CUDA developer ecosystem - millions of developers, libraries, frameworks tuned to NVIDIA - is a genuine two-sided network that compounds with installed base.
Counter-Positioning	1/3	None meaningful now - NVIDIA is the incumbent being attacked by lower-cost ASICs/AMD, not the counter-positioner.
Switching Costs	3/3	Code, models and full racks are written/optimized to CUDA + NVIDIA networking; re-platforming to ASICs or AMD is costly and risky - a real lock-in.
Branding	2/3	Strong reputation as the AI-compute standard, but the buy is governed by performance/TCO and ecosystem, not brand premium.
Cornered Resource · thesis leans here	3/3	The dominant Power: CUDA + the integrated GPU/networking/software stack is a ~two-decade head start rivals cannot quickly replicate - the moat's foundation.
Process Power	3/3	Deep systems/packaging and supply-chain (CoWoS) execution feeding the annual cadence; real, but partly bought capacity others can also access.

PEER SET

AMD · 30% gr · 25% mgn · ~30x EV/FCF
The credible #2; MI450/Helios ships H2-2026 with OpenAI (6GW) and Meta (~$100B) commitments - the direct GPU challenger.

Custom ASICs (hyperscalers) · captive
In-house AI silicon (Google TPU, plus new programs) fragmenting GPU procurement; reduces NVIDIA's wallet share at the largest buyers.

OpenAI-Broadcom · ~partnership
10GW of custom accelerators (Broadcom-designed) landing H2-2026 - the marquee defection from merchant GPUs to bespoke silicon.

Huawei (Ascend) · private
Entrenching in China as the closed-market alternative now that NVIDIA datacenter revenue there is $0; not a US/global threat yet.

THREAT VECTORS · FALSIFIERS

Cornered Resource · Custom ASICs (OpenAI-Broadcom, hyperscaler in-house silicon)
`falsifier:` Custom-silicon deployments take visible Data Center share and slow NVIDIA's growth/pricing as buyers re-platform off CUDA.

Switching Costs · AMD (MI450/Helios, H2-2026)
`falsifier:` Major accounts (OpenAI, Meta) shift meaningful training/inference to AMD, proving the CUDA lock-in is breachable at scale.

Scale Economies · A datacenter AI capex digestion/air-pocket
`falsifier:` Hyperscaler capex pauses, the annual cadence stops compounding the installed base, and the scale advantage stops self-reinforcing.

> **COMPETITIVE READ**
> NVIDIA's dominant Power is a cornered resource - CUDA plus the integrated GPU/networking/software stack, reinforced by switching costs, scale and a developer-ecosystem network - and it's durable (high). The live threat is the H2-2026 wave: AMD's MI450 and the OpenAI-Broadcom custom ASICs erode GPU share at the margin even if NVIDIA stays the standard, and China datacenter is a permanent $0. The Audit squares with the DCF: the Power is real, but the swing factor is whether datacenter AI capex holds or hits an air-pocket, and at ~50x FCF on ~$5T even the modal capex-holds case lands ~-23% - the distribution is the finding, weighted -25%.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

22 July 2026 · the quantitative

NVIDIA show your work

Bear $76.59 Base $158.65 Bull $245.72 · Weighted $153.54 (-25.9%)

ULTRA BEAR $40.37

ASSUMPTIONS

5y revenue CAGR (%)	-0.6
Year-5 op margin (%)	51.0
WACC (%)	10.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	-0.6
Starting revenue ($B)	215.90
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	194.31	+48%	+77.72	+70.34
FY27	184.59	+48%	+73.84	+60.47
FY28	190.13	+50%	+77.95	+57.78
FY29	199.64	+51%	+83.85	+56.24
FY30	209.62	+51%	+88.04	+53.44

Σ PV explicit FCF	+298.27
+ PV terminal (g 2.5%)	684.71

EQUITY BUILD · $B & PER SHARE

Operating EV	$982.98B
+ Cash & investments	$10.60B
− Net debt	$8.50B
= Equity value	$985.08B
FY30 shares (M)	24,400
= Expected per share	**$40.37**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$66.51	$109.57	$180.51	$297.37
0.32×	0.53×	0.87×	1.43×

BEAR $76.59

ASSUMPTIONS

5y revenue CAGR (%)	+7.6
Year-5 op margin (%)	58.0
WACC (%)	9.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+7.6
Starting revenue ($B)	215.90
Scenario probability (%)	25

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	241.81	+55%	+101.56	+92.75
FY27	261.15	+56%	+112.30	+93.66
FY28	276.82	+57%	+121.80	+92.77
FY29	293.43	+57%	+129.11	+89.81
FY30	311.04	+58%	+139.97	+88.91

Σ PV explicit FCF	+457.89
+ PV terminal (g 3.0%)	1408.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$1866.79B
+ Cash & investments	$10.60B
− Net debt	$8.50B
= Equity value	$1868.89B
FY30 shares (M)	24,400
= Expected per share	**$76.59**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$120.57	$189.81	$298.80	$470.39
0.58×	0.92×	1.44×	2.27×

BASE $158.65

ASSUMPTIONS

5y revenue CAGR (%)	+20.1
Year-5 op margin (%)	60.0
WACC (%)	9.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+20.1
Starting revenue ($B)	215.90
Scenario probability (%)	32

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	302.26	+58%	+132.99	+122.01
FY27	377.82	+59%	+170.02	+143.10
FY28	438.28	+60%	+201.61	+155.68
FY29	490.87	+60%	+230.71	+163.44
FY30	539.96	+60%	+253.78	+164.94

Σ PV explicit FCF	+749.17
+ PV terminal (g 3.5%)	3103.86

EQUITY BUILD · $B & PER SHARE

Operating EV	$3853.03B
+ Cash & investments	$10.60B
− Net debt	$8.50B
= Equity value	$3855.13B
FY30 shares (M)	24,300
= Expected per share	**$158.65**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$244.10	$375.58	$577.88	$889.14
1.18×	1.81×	2.79×	4.29×

BULL $245.72

ASSUMPTIONS

5y revenue CAGR (%)	+25.3
Year-5 op margin (%)	62.0
WACC (%)	8.5
Terminal growth (%)	4.0
5y revenue CAGR (%)	+25.3
Starting revenue ($B)	215.90
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	323.85	+60%	+145.73	+134.32
FY27	427.48	+61%	+200.92	+170.67
FY28	517.25	+62%	+248.28	+194.38
FY29	594.84	+62%	+291.47	+210.32
FY30	666.22	+62%	+326.45	+217.10

Σ PV explicit FCF	+926.79
+ PV terminal (g 4.0%)	5017.50

EQUITY BUILD · $B & PER SHARE

Operating EV	$5944.29B
+ Cash & investments	$10.60B
− Net debt	$8.50B
= Equity value	$5946.39B
FY30 shares (M)	24,200
= Expected per share	**$245.72**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$369.48	$555.57	$835.38	$1,256.13
1.78×	2.68×	4.03×	6.06×

ULTRA BULL $355.27

ASSUMPTIONS

5y revenue CAGR (%)	+32.0
Year-5 op margin (%)	63.0
WACC (%)	8.2
Terminal growth (%)	4.0
5y revenue CAGR (%)	+32.0
Starting revenue ($B)	215.90
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	341.12	+61%	+156.92	+145.02
FY27	477.57	+62%	+229.23	+195.81
FY28	611.29	+63%	+305.65	+241.29
FY29	739.66	+63%	+377.23	+275.23
FY30	865.40	+63%	+441.36	+297.61

Σ PV explicit FCF	+1154.96
+ PV terminal (g 4.0%)	7369.48

EQUITY BUILD · $B & PER SHARE

Operating EV	$8524.44B
+ Cash & investments	$10.60B
− Net debt	$8.50B
= Equity value	$8526.54B
FY30 shares (M)	24,000
= Expected per share	**$355.27**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$526.86	$781.32	$1,158.69	$1,718.32
2.54×	3.77×	5.59×	8.29×

NVIDIA People · Opportunity · Context · Deal

Bear $76.59 Base $158.65 Bull $245.72

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Jensen Huang · founder-led — 33 yrs in seat

3.77% insider ownership

HIGH key-person risk

Capital allocation (realized)
Buyback-led: a $50.0B authorization (Aug 2024) then an additional $60.0B (Aug 2025), both no-expiration; token quarterly dividend of $0.01/share (post-10:1 split); R&D-intensive (FY2025 R&D up sharply on more compute/infra and new-product engineering); SBC $4.74B in FY2025 (+33% YoY); M&A record mixed — Mellanox ($6.9B, closed 2020) completed, the $40B Arm acquisition abandoned 2022 on antitrust opposition.

Incentive alignment
FY2025 total comp $49.9M: base salary $1.5M (first raise in 10 years), non-equity incentive $6.0M, stock awards $38.8M, ~$3.5M other (security, driver, vehicle). Equity granted as RSUs plus PSUs tied to corporate financial-performance targets and market-condition (TSR) PSUs.

GOVERNANCE FLAGS

- single class of common stock, one vote per share; no preferred outstanding; no cumulative voting
- Huang ~3.77% economic stake (~923M of ~24.46B shares, Mar 2025) — control rests on the operating role, not super-voting shares
- no separate independent Chair; Huang is President & CEO and the only non-independent director — mitigated by a designated Lead Independent Director running executive sessions without the CEO
- board of 13 with 12 independent directors

THE FOUR LEGS

People — observable composite · 1–5 — ●●●●○

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the -25.2% finding) + position sizing.

> PEOPLE READ
> Founder-CEO since 1993 (~33-year tenure) with a ~3.77% economic stake under a clean single-class one-share-one-vote structure and a 12-of-13 independent board with a Lead Independent Director; capital return is buyback-led ($110B authorized across 2024-2025) with a token dividend, and Huang is the singular face of strategy, so key-person concentration is high.

NVIDIA supporting analysis · disclaimers · glossary

Bear $76.59 Base $158.65 Bull $245.72

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~50x FCF on the world's largest company.**
~$96.7B FCF and ~60% operating margins, but at a ~$5T cap the modal DCF is still ~-23% - the price, not the business, is the constraint; the distribution does the talking.

2 **The single swing factor is datacenter capex.**
The whole valuation hinges on hyperscaler + sovereign AI spend compounding for years; capex holding is the bull (+20%), a digestion/air-pocket is the ultra-bear (-80%).

3 **China datacenter is a structural $0.**
Results and guidance assume ~no China; Beijing steered firms away and Huawei is entrenching - a permanently lost ~$15-50B/yr TAM already out of the numbers, not a future risk.

4 **Competition all lands H2-2026.**
AMD MI450/Helios (OpenAI 6GW, Meta ~$100B) and OpenAI-Broadcom 10GW custom ASICs ship H2-2026; the GPU monopoly erodes at the margin even if NVIDIA stays the leader.

5 **The systems moat is more than the GPU.**
Networking +199% and CUDA + the developer ecosystem make the full-rack platform stickier than a chip - the durability case for the bull/ultra-bull, but already in the price.

FALSIFICATION TRIGGERS

Bull validation

hyperscaler capex guidance keeps rising · Rubin samples Q4-2026 / volumes Q1-2027 on cadence · Data Center + networking stay strong · gross margin holds mid-70s

Bear validation

a major hyperscaler cuts or pauses AI capex · custom ASICs / AMD take visible Data Center share · gross margin slips toward low-70s · backlog/booking commentary softens

Reframe needed

if datacenter AI capex hits a sustained air-pocket or custom silicon structurally takes share, re-rate the terminal toward a cyclical-semiconductor multiple

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Data Center — NVIDIA's dominant segment (~88% of revenue, +92% last quarter) - GPUs + networking; the thesis rides on its growth.

Hyperscaler capex — Cloud-provider (Microsoft/Amazon/Google/Meta) AI-infrastructure spending - the demand source and biggest swing.

Annual cadence (Blackwell → Rubin) — NVIDIA's once-a-year architecture rhythm (Blackwell → Ultra/GB300 → Rubin); how it stays ahead of ASICs.

Custom ASICs — Purpose-built AI chips (OpenAI-Broadcom, hyperscaler in-house) fragmenting GPU procurement; the live threat at the margin.

FCF margin — Free cash flow / revenue (~45% FY26); the cash-conversion swing factor.